

annuity. By properly matching the duration of the bond investments with the duration of the underlying projected income, the index should be immune to interest rate risk and should do a good job tracking its objective. Eliminating this interest rate risk hedges the costs of retirement, which should reduce the impact of sequence risk as retirement nears. It provides an alternative option to purchasing a deferred-income annuity in the years leading up to retirement for those seeking to take market risk off the table.

The BlackRock indexes also aim to shift the focus to lifetime income rather than wealth maximization. The ultimate goal of individual investors is to fund retirement spending. The CoRI indexes let retirees get a better feel for how an income annuity works, but without actually locking in the purchase. Retirees can test-drive a SPIA through age seventy-five before making an irrevocable commitment to annuitize or not. CoRI provides an effective and intuitive way for individuals to think about the cost of retirement and how they can translate their savings into sustainable spending.